

The Healthy Pipeline

Executive Summary

Revenue leaders obsess over pipeline. Before there's revenue, before you can plan and set targets, before you can forecast, and before you can diagnose any go-to-market issue, you must first understand pipeline.

A healthy pipeline has four attributes:

- **Quantity:** Enough pipeline to make the target, as measured by *weighted pipeline*.
- **Shape:** Progression through sales stages, as measured by *pipeline maturity ratio*.
- **Growth.** Growth to keep pace with business aspirations, as measured by *weighted pipeline growth*.
- **Distribution.** Alignment with territories and strategic goals, as measured by the same metrics applied to the relevant pieces of your business.

That is the topic of this paper: to understand pipeline, and to use that understanding to improve business performance.

Scope of this Discussion

Although most of the concepts in this paper apply to all sales opportunities, we focus our discussion on net new customer pipeline. We will not consider renewal or up-sell pipeline.

We will also confine ourselves to medium-to-long term forecasting and planning, and *not* to current quarter forecasting, which requires a different approach.

We will use the following sales stages in our examples. Your calculations may be different if you use different sales stages or probabilities:

- Stage 1 - Opportunity Qualified - 20% probability to close
- Stage 2 - Solution Defined - 35% probability to close
- Stage 3 - Consensus Built - 50% probability to close
- Stage 4 - Proposal Accepted - 80% probability to close
- Stage 5 - Closed Won

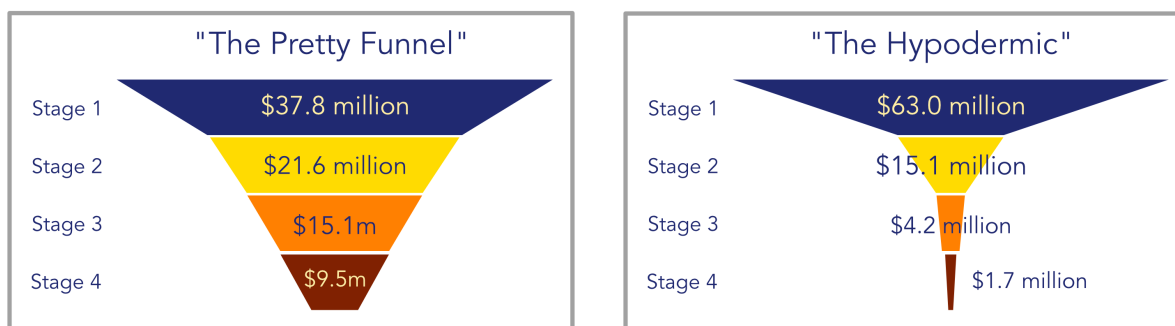
Attribute 1: Quantity

Total Pipeline

Most CEOs, boards, and revenue leaders focus on the size of the pipeline. Total pipeline is simply the deal value (for SaaS companies, usually measured in ARR) of every opportunity in the pipeline.¹ The conventional wisdom is that you need pipeline to be 3-4x your target, depending on your qualification criteria and sales process.

But total pipeline is not very useful for planning or forecasting. A pipeline full of early-stage deals may take a long time to close. Deal sizes in early stages are unreliable since you don't know much about what the customer needs or their willingness to pay. And early-stage pipeline is often a reflection of recent demand generation, rather than overall business health.

Let's say our sales target is \$28 million. We consider two sales funnels, each with \$84 million of total pipeline (3x our target).



The pretty funnel looks healthy and feels balanced. The hypodermic needle, however, is heavily weighted to early stages. Maybe a recent marketing push has added a lot of new opportunities, or maybe we're having trouble moving deals down the funnel.

Both pipelines total \$84 million. But they point towards very different situations. We need a different metric.

Weighted Pipeline

Weighted pipeline is *the* indispensable metric. It is highly predictive of sales results, so it's great for planning and forecasting. It measures your ability to *create* pipeline as well as to *advance* pipeline, so it measures all teams involved in the sales cycle. Weighted pipeline captures your deal sizes and sales cycle duration.

¹ As a reminder, we are focusing on net new customers.

Weighted pipeline can also help you identify struggling reps and regions and can even help you predict rep attrition.²

Weighted pipeline means:

- The value of each deal in the pipeline,
- Each multiplied by the likelihood of that deal to close (as determined by the sales stage),
- All added together.

$$\text{Weighted Pipeline} = \left\{ \begin{array}{l} \text{Stage 1 Total Pipeline} \times \text{Stage 1 Pipeline Weight} \\ + \\ \text{Stage 2 Total Pipeline} \times \text{Stage 2 Pipeline Weight} \\ + \\ \text{Stage 3 Total Pipeline} \times \text{Stage 3 Pipeline Weight} \\ + \\ \text{Stage 4 Total Pipeline} \times \text{Stage 4 Pipeline Weight} \end{array} \right.$$

Your weighted pipeline is a good predictor of sales achievement. *If your weighted pipeline for a period³ is greater than your sales target for that period, you should make your number.*⁴

Let's calculate weighted pipeline for each of the examples above.

The Pretty Pipeline: Weighted pipeline calculation	The Hypodermic Needle: Weighted pipeline calculation
\$37.8m * 20% + \$21.6m * 35% + \$15.1m * 50% + \$ 9.5m * 80% ----- = \$30.3m	\$63.0m * 20% + \$15.1m * 35% + \$ 4.2m * 50% + \$ 1.7m * 80% ----- = \$21.3m

By total pipeline, these sales funnels were identical. Weighted pipeline tells a different story. Our pretty pipeline on a weighted basis is over \$30m, indicating upside against our \$28m target. On the other hand, the hypodermic needle pipeline is around \$21m, suggesting we'll miss our target by 25%.

² It also slices, dices, and liquifies.

³ When assessing weighted pipeline, we always use *at least* two quarters of data so that precise deal timing is less of a factor. As we already mentioned, we are *not* discussing current-quarter forecasting.

⁴ A word of warning: Your sample size needs to be big enough for percentages to matter. A 50% probability for a single \$1 million deal is not a \$500K deal.

Selecting the Period for Weighted Pipeline

Above, we described weighted pipeline “for a period.” It’s worth explaining what we mean. In evaluating the size of the pipeline, you are typically asking: *What is my sales projection, and will I make the number?*

Let’s first select the period we care about. In general, there are two factors to consider: (1) where you are in your fiscal year, and (2) the length of your sales cycle (specifically, do you have more time to generate pipeline that will close during the fiscal year).⁵ Let’s consider two scenarios:

- **Projecting through fiscal year end.** It’s July 1, halfway through the fiscal year, and we’ve closed \$9 million against a \$22 million number. We run a nine-month sales cycle, so the current pipeline will have to service the rest of the sales for the year. Our forecast for the rest of the year will be the weighted pipeline for deals projected to close July 1-December 31. So long as that weighted pipeline is at least \$13 million (the distance to go from the \$9m we already closed to our \$22m target), we’re on track to make the year.

$$\text{Forecast for the year} = \left\{ \begin{array}{l} \text{Deals we already closed in Q1 and Q2} \\ + \\ \text{Weighted pipeline for Q3 and Q4} \end{array} \right.$$

- **Projecting a partial fiscal year.** It’s April 1, the start of Q2, and we closed \$3 million in Q1 against a \$20 million annual target. We run a six-month sales cycle, so pipeline we generate during Q2 should still close within the fiscal year. We first evaluate weighted pipeline from April 1-December 31, and this is \$12 million. So we can project a \$15 million year on the *current* pipeline. Now we need to close a \$5m gap to target. The question we ask ourselves is: “Can we generate enough pipeline in Q2 to close \$5m in sales in Q4?” Assuming our close rate for new opportunities is 20%, we say that if we can generate \$25m in pipeline during Q2, we should make the number for the year.⁶

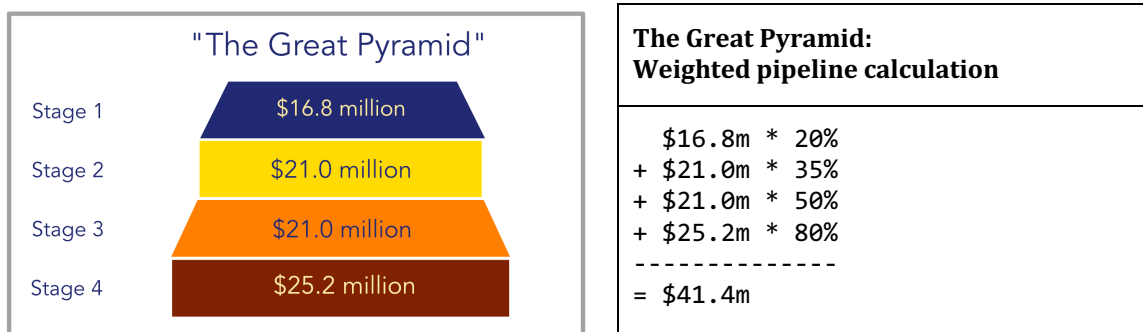
$$\text{Forecast for the year} = \left\{ \begin{array}{l} \text{Deals we already closed in Q1} \\ + \\ \text{Weighted pipeline for the rest of the year} \\ + \\ \text{Yield from Q2 demand gen activities} \end{array} \right.$$

⁵ You may wish to analyze other periods — pipeline next 12 months, for instance. I think the scenarios here are the most common. But you do you.

⁶ It’s worth noting that the amount of pipeline you need across *all* stages is different than the amount of *new* pipeline you need to generate. In our earlier example, 3x pipeline was sufficient to deliver the revenue number, so long as the funnel had a healthy shape. However, our Stage 1 deals close at a 20% rate, which means you need to *generate* 5x the target in pipeline. In this example, we need to generate \$25m in Stage 1 opportunities during Q2, so that (with our six-month sales cycle) we could close 20% of that for the \$5m we need.

Attribute 2: Shape

To illustrate the importance of pipeline shape, let's consider a third example.



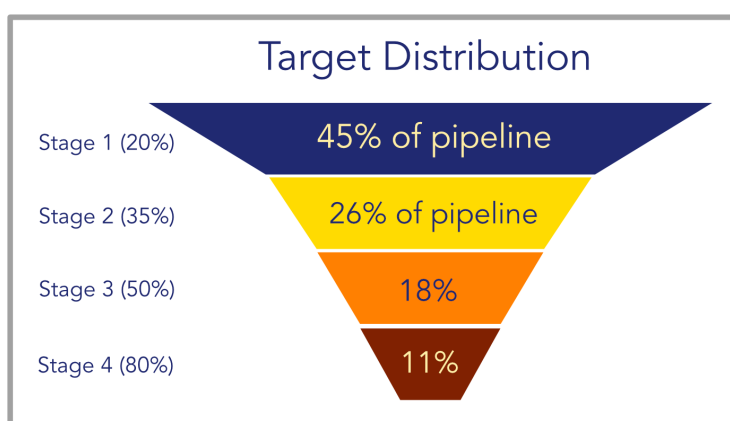
At first glance, we should be thrilled. This funnel has a weighted value of over \$41 million, the highest (by far) of the examples we have seen. Against our \$28m target, we have nearly 50% upside. Time to buy a new car.

Upon closer inspection, however, we see trouble ahead. This pipeline is disproportionately weighted to later stages. When we close our late-stage deals, the bottom is going to drop out. There's not enough going into the early stages to support growth. We might crush our numbers for the next quarter or two. But we're going to hit a wall, and it's going to be ugly.

The Healthy Pipeline Shape: Pipeline Distribution by Stage

We define a healthy funnel shape as progression through sales stages at the expected rate. You can predict the percentage of the pipeline that should be in each stage in a healthy pipeline.⁷

Our sales funnel should ideally look like this⁸:



⁷ These calculations make the simplifying assumption that each sales stage should take roughly the same amount of time, and that no stage becomes a bottleneck.

⁸ We'll publish a companion piece with a spreadsheet that shows the calculations. In the meantime, trust us.

Let's compare this target distribution with the distribution of our three example funnels:

	Pretty	Hypodermic	Pyramid
Stage 1	45%	75%	20%
Stage 2	26%	18%	25%
Stage 3	18%	5%	25%
Stage 4	11%	2%	30%

In our pretty pipeline, our distribution is exactly the ideal.⁹ In our hypodermic needle, we see that there's a lot more in stage 1 and a lot less in stages 2, 3, and 4 than our benchmark. In our great pyramid, we're underweighted in the first half of the pipeline, and overweight in the second half.

This is illuminating but complicated. Fortunately, there's a shortcut.

The Pipeline Maturity Ratio

The **Pipeline Maturity Ratio** is our shorthand for evaluating pipeline shape. It's straightforward:

$$\text{Pipeline Maturity Ratio} = \frac{\text{weighted pipeline}}{\text{total pipeline}}$$

Pipeline maturity ratio has a benchmark, which derives from our target distribution. With our sales stages, that number is 36%, or a ratio of total to weighted pipeline of about 2.8:1.¹⁰

To return to our examples:

	Pretty	Hypodermic	Pyramid
Maturity Ratio	36%	25%	49%

Using this ratio is straightforward:

- In the pretty pipeline, our ratio is 36%, *right on target*. The funnel is healthy.¹¹
- In the hypodermic, our ratio is 25%, *far below our benchmark*. This is consistent with our observation that the funnel is *immature* (heavily weighted to early stages). You need to know if that's due to a recent surge in pipeline generation or poor down-funnel performance. Either way, you must prepare for a missed quarter or two while the pipeline works its way through the funnel.

⁹ What did you expect?

¹⁰ If you use a different number of sales stages, and/or you expect different probabilities to close, you may have different numbers. At a recent company, we used a 6-stage sales process with stages 1-5 at 10%, 20%, 35%, 50%, and 80% before closing at Stage 6. The benchmark ratio for this funnel was 25%, or 4:1.

¹¹ You could certainly model a wacky pipeline shape that still shows a healthy maturity ratio, but I've never seen this happen in real life. You should check in occasionally on the detailed pipeline distribution by stage as additional color.

- In the pyramid, our ratio is 49%, *much higher than the benchmark*. Your pipeline is *late-stage heavy*, which means you're not generating enough new opportunities behind the deals you're about to close. This is a red flag for pipeline generation. Again, you should expect a missed quarter or two after you close out the late-stage deals.

Pipeline Maturity in Action

Pipeline maturity is invaluable in day-to-day use. In a prior company, we inspected pipeline maturity company-wide, for each VP/region, and even at the rep level.

A late-stage heavy pipeline for a sales rep, for instance, can indicate that the rep is not prospecting effectively. You may want to know if the rep is too busy with late-stage deals, indicating they may need more help from marketing or the BDR team. It could also be an indicator that the territory has grown too big for one rep to handle. It could indicate that the rep is a flight risk, because once all the deals are closed, they won't have anything more on the horizon. (An empty pipeline could be either a cause or result of rep dissatisfaction.)

A pipeline that's heavily weighted to early stages for a new hire may not be cause for concern. But an immature pipeline for a tenured rep could be a red flag, indicating that the rep isn't being effective moving deals through the cycle.

Selecting the Period for Pipeline Maturity

In evaluating funnel shape, we always use the *entire* pipeline. Just because the opportunities you generated this quarter have no shot of closing during this year doesn't mean you should exclude them from your evaluation of funnel shape.

Attribute 3: Growth

We have so far focused on evaluating pipeline at a single point in time. Now we turn our attention to pipeline growth.

The principle is simple:

You cannot grow sales faster than you can grow weighted pipeline.

You can buck trends for short periods of time. But if on a 12-trailing month basis, your weighted pipeline is only up 30%, don't expect 40% sales growth for the next 12 months.

There's a corollary which is equally important:

Never plan or forecast sales that are greater than the weighted pipeline. You would be predicting that your pipeline progression is going to get meaningfully better. That's not sales, that's magic. It's rare, unsustainable, and impossible to predict.

Some years ago, I showed our board a chart indicating that weighted pipeline growth was leveling off, even while our sales were still growing at a rapid clip. This predicted that we would hit a wall, and we needed to plan accordingly. This led us to make business changes with the goal of restoring the pipeline to health.

Selecting the Period for Pipeline Growth

In evaluating pipeline growth, we generally use the *entire* pipeline. As with pipeline maturity, you're trying to get a holistic sense of pipeline growth across all time periods, and you don't want to underweight newer deals in that analysis.



Attribute 4: Distribution

We have a final attribute to consider in the healthy pipeline: distribution. Evaluating pipeline distribution means performing each of the analyses above on selected parts of the pipeline.

Regions and Reps

Everything we propose at the top-level applies equally to smaller segments of the business. In a prior company, we held a weekly operations review for each region on a rotating basis (over a four-week period, we would cover west, central, east, and EMEA regions, so that each region got a monthly review), and once a quarter we would do the same review at a company level. In each case, VPs could see how their region and reps were performing, and benchmark themselves against their peers. We used this analysis to identify struggling or overworked reps, inform marketing and BDR activity, and shape territory plans. Our goal was simple: make sure each territory is productive and contributing.

Strategic Alignment

Strategic objectives play a role in pipeline analysis. For example:

- Segment: A company trying to move from mid-market to enterprise may need to evaluate pipeline in each market individually.
- Industry: A company looking to penetrate a new industry may look to pipeline to measure and guide their progress.
- Product: A company launching a new product may need to evaluate pipeline separately by product, so that the comparatively large sales for older products don't obscure information about the new product launch.

Such considerations are critical to sustaining business performance. Our pipeline might be outstanding, for instance, but in a market that's too small, or where we can foresee crippling competition.

Recap

You can analyze pipeline hundreds of ways, but three metrics will summarize most of what you need to know about pipeline health¹²:

- **Weighted pipeline** should be at least as big as our sales target.
- **Maturity ratio** should be close to our benchmark for ideal funnel shape.
 - If maturity ratio is too low, it indicates that the pipeline is weighted towards early stages. Understand and correct problems with pipeline progression and try to mitigate the risk of short-term misses.
 - If maturity ratio is too high, it indicates that the pipeline is weighted towards later stages. Understand and correct problems with demand generation and try to mitigate the risk of longer-term misses.
- **Weighted pipeline growth rate** should be at least the rate for our forward-looking growth plan.

Each of these metrics should be repeated by region, rep, and other dimensions that matter to your business strategy.

¹² Before we conclude, we should say a word about pipeline accuracy. It goes without saying that for our methods to work, you must trust the data. Weighted pipeline can protect you from unreliable data to some degree, since it over-weights later stages, and later stage pipeline tends to be more reliable than early stage pipeline. (It gets inspected more often. Have you called procurement today??) Techniques for managing pipeline hygiene and accuracy — for our purposes, value, stage, and close date — are a topic for another day.



About PikeSquare

PikeSquare is about building winning go-to-market teams. Our expertise is in enterprise software and SaaS.

The pike square was a military tactic that dominated European battlefields in the late Middle Ages. Teams of 100 men, carrying steel-tipped spears called pikes, moved in a ten-by-ten formation. The pike square was nearly invincible until advancements in firearms made pikemen obsolete in the 17th century.

The pike square required troops acting with exceptional coordination. A pikeman operating without the protection of the formation was an easy target. But well-trained and well-drilled troops acting together as a single unit formed a fast, agile, and lethal offensive weapon.

Enterprise sales, marketing, and customer success also requires that teams work together. PikeSquare draws its inspiration from this idea — that an integrated go-to-market team, acting in alignment on a single strategy — is a formidable business weapon.

Find us online at pikesquare.co, or contact us at info@pikesquare.co.

